

Please provide the following information

HOW TO GET VALUE

- You are the first
- Use it to test your
- Benchmark your decisions.
- Understand your

GETTING STARTED

This template is designed for entering any number and will calculate automatically.

Color guide:

Blue text = Your

Black text = Company

Teal row = Revenue

Red row = Costs

REVENUE (SALES)

List every stream of revenue. Subscription Revenue, etc.

For each revenue line item, answer the following:

- Are sales seasonal?
- Do you have significant discounts?
- Are you projecting future growth?

Note that starting from Year 1, you should

Be conservative. It's better to underestimate than overestimate. Sum your entries at the bottom of the page.

COST OF SALES

Cost of Goods Sold (COGS) is the direct cost of producing the goods sold by a company. It includes the cost of the materials and the labor used in production.

COGS does NOT include indirect costs such as overheads.

Why this matters: COGS is a critical component of your profit calculation. Underestimating COGS can lead to inflated profits, while overestimating can lead to understated profits. Be careful and update regularly.

GROSS PROFIT

Gross Profit is calculated as Revenue minus COGS.

The % of Revenue
against industry ave
local library, or your
signal that you have

OPERATING EXPENSES

Operating expense
startup-relevant cat

- Salaries & Wage
- Payroll Taxes & I
- Contract / Freela
- Rent & Facility C
- Software Subscr
- Advertising & Ma
- Business Insura
- Accounting & Le
- Travel, Vehicle &
- Depreciation & A

Rename categories
reflect those fluctua

BUSINESS INSURANCE

Insurance is a critic

1. Business Insura
starting point for sn
2. General Liability
clients.
3. Workers' Comp
depending on indus

Other policies to co

- Professional Lial
- Cyber Liability —
- Commercial Auto
- Directors & Offic

Enter your annual p
Not sure what cove

RESERVE FOR CONTINGENCIES

This line is a buffer
common starting po

Think of this as the
lenders appreciate

NET PROFIT & LOSS

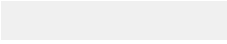
Net Profit Before Ta

Enter your estimate
State rates vary; ch

Net Operating Inco
negative in early m
sufficient capital to

TIPS FOR A CREDIT

- Base projections (available at most p
- Build three scen
- Update this spre
- Industry average
- Your SCORE me
- mentor in your area
- You and any pos
- usually takes time i
- real impact.





make a copy of this template before attempting to add your own. Go to the menu and select "File" then select "Make a Copy".

HOW TO USE THIS P&L PROJECTION TEMPLATE

Provided by SCORE — Free Mentoring for America's Small Businesses | www.score.org

VALUE FROM PROJECTIONS

consumer of the thinking that goes into planning.

your assumptions.

information against the industry. Reduce your risk and increase your probability of success with better

financials including P&L and Cash Flow.

INTRODUCTION

signed to help you project monthly revenue, expenses, and profit for a full 12-month fiscal year. Before you begin, read through each section below. You'll only need to fill in the blue cells — all totals and percentages are calculated automatically. Start by entering your company name and fiscal year in the P&L Projection tab.

your input (change these)

calculated formula (do not edit)

Revenue total

Cost or Expense total

REVENUE (S)

of income your business expects to generate. The template includes categories such as Product Revenue, Service Revenue, Consulting, and Licensing — rename any category to match your actual offerings.

When you enter, enter your projected dollar amount for each month. Ask yourself:

Seasonal? (e.g., higher in summer or Q4)

Long-term contracts or recurring customers that give you certainty?

Experiencing growth month-over-month? If so, be realistic — new businesses often ramp slowly.

Remember, from zero revenues takes time. Know your selling cycle time.

It is far better to exceed a modest forecast than to fall short of an optimistic one. The Annual Total column will be calculated automatically.

EXPENSES (COGS)

Cost of Goods Sold (COGS) are expenses directly tied to producing or delivering your product or service — they go up and down with sales. Examples include raw materials, inventory purchases, manufacturing labor, shipping, and subcontractors work.

Do not include general overhead like rent or admin salaries — those go under Operating Expenses.

Gross Profit = Revenue minus COGS. A healthy gross margin is the foundation of a profitable business.

High COGS can lead you to underprice your product or service, which can be fatal to a startup. Research your costs and compare them as you learn more.

OPERATING EXPENSES & GROSS MARGIN %

Profit is calculated automatically: Total Revenue minus Total COGS.

column on the right shows your Gross Margin — a key benchmark. Compare your projected gross margin erages (available from industry associations, the Robert Morris Associates' Annual Statement Studies, your r SCORE mentor). If your margin is significantly lower than the industry average, investigate why -- it may e missed something in the analysis or are too optimistic in your projections.

PENSES (OVERHEAD)

s are necessary costs that don't fluctuate directly with production volume. This template includes modern tegories:

s — owner draw or employee wages (non-production)

Benefits — FICA, unemployment, health insurance

ance Labor — designers, developers, marketers

Costs — office, coworking, warehouse

scriptions — CRM, accounting, communication tools

arketing — digital ads, SEO, print

nce — see the Insurance section below

gal Fees — CPA, attorney, filing fees

k Delivery — mileage, flights, shipping

mortization — for equipment or IP over time

s to match your chart of accounts. Some expenses are seasonal (utilities, travel); your projections should ations.

IRANCE

cial and often underestimated startup expense. This template includes three separate insurance line items:

ance (Business Owner's Policy / BOP) — bundles general liability and property coverage. Most common all businesses.

y Insurance — covers third-party bodily injury and property damage. Often required by landlords and

ensation Insurance — required in most states if you have employees. Rate is typically 1–3% of payroll try and state.

nsider as you grow:

bility (E&O) — for service businesses

- if you handle customer data

o — if using vehicles for business

ers (D&O) — if you have a board

premium divided by 12 for each monthly column. Check the Assumptions tab for guidance on typical rates.

rage you need? Learn more about commercial insurance at [progressivecommercial.com](https://www.progressivecommercial.com)

CONTINGENCIES

— a percentage of sub-total expenses set aside for unexpected costs. For new businesses, 5–10% is a oint. Set your percentage in the Assumptions tab.

'known unknowns' — the expenses you can't specifically identify yet but know will arise. Investors and seeing this; it shows you're planning realistically.

NCOME TAXES

axes = Gross Profit minus Total Expenses.

ad federal, state, and local tax rates in the blue cells. The current U.S. federal corporate tax rate is 21%. eck the Assumptions tab and consult your accountant for your specific situation.

me (NOI) is the bottom line — what the business actually retains after all expenses and taxes. If NOI is onths, that is normal for startups — but model when you expect to reach breakeven and ensure you have get there.

EDIBLE FORECAST

on real data wherever possible — quotes from suppliers, signed contracts, comparable businesses, industry averages: conservative, base, and optimistic. Present your base case and be ready to explain the assumptions.

Update your spreadsheet monthly as actual results come in. Compare actual vs. projected to sharpen future forecasts.

Where data is available from industry associations, the Robert Morris Associates' Annual Statement Studies (public libraries and from bankers), NAICS industry reports, and SCORE workshops.

A SCORE mentor can review your completed P&L and provide feedback at no cost. Visit www.score.org to connect with a mentor.

Remember, visible investors should clearly understand any significant deviations from industry averages. Also note that it takes time for a new business to reach those averages. Startup costs and customer acquisition are but two factors that have

PROFIT					
[Company Name]					
	Jan	Feb	Mar	Apr	May
REVENUE (SALES)					
Product / Service Revenue	-	-	-	-	-
Subscription Revenue	-	-	-	-	-
Consulting & Services	-	-	-	-	-
Licensing & Royalties	-	-	-	-	-
Other Revenue	-	-	-	-	-
Category 6	-	-	-	-	-
Category 7	-	-	-	-	-
TOTAL REVENUE	-	-	-	-	-
COST OF SALES (COGS)					
Direct Labor / Wages	-	-	-	-	-
Raw Materials & Inventory	-	-	-	-	-
Manufacturing / Production	-	-	-	-	-
Shipping & Fulfillment	-	-	-	-	-
Software / SaaS Tools (COGS)	-	-	-	-	-
Subcontractors	-	-	-	-	-
Other COGS	-	-	-	-	-
TOTAL COST OF SALES	-	-	-	-	-
GROSS PROFIT	-	-	-	-	-
OPERATING EXPENSES					
Salaries & Wages	-	-	-	-	-
Payroll Taxes & Benefits	-	-	-	-	-
Contract / Freelance Labor	-	-	-	-	-
Rent & Facility Costs	-	-	-	-	-
Utilities	-	-	-	-	-
Telephone & Internet	-	-	-	-	-
Advertising & Marketing	-	-	-	-	-
Software Subscriptions (OpEx)	-	-	-	-	-
Office Supplies & Equipment	-	-	-	-	-
Repairs & Maintenance	-	-	-	-	-
Travel, Vehicle & Delivery	-	-	-	-	-
Accounting & Legal Fees	-	-	-	-	-
Business Insurance	-	-	-	-	-
General Liability Insurance	-	-	-	-	-
Workers' Compensation Insurance	-	-	-	-	-
Real Estate / Property Taxes	-	-	-	-	-

Interest Expense	-	-	-	-	-
Depreciation & Amortization	-	-	-	-	-
Research & Development	-	-	-	-	-
Other Operating Expenses	-	-	-	-	-
Miscellaneous	-	-	-	-	-
SUB-TOTAL EXPENSES	-	-	-	-	-
Reserve for Contingencies	-	-	-	-	-
TOTAL EXPENSES	-	-	-	-	-
NET INCOME					
NET PROFIT BEFORE TAXES	-	-	-	-	-
Federal Income Tax	-	-	-	-	-
State Income Tax	-	-	-	-	-
Local / City Tax	-	-	-	-	-
TOTAL INCOME TAXES	-	-	-	-	-
NET OPERATING INCOME (NOI)	-	-	-	-	-

Blue = User Input Black = Formula All values in USD (\$) | For help, visit www.score.org



T & LOSS PROJECTION — 12 MONTHS

[illegible]

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KEY ASSUMPTIONS &

Assumption	Value / Rate
Fiscal Year Start	January 2025
Contingency Reserve %	5%
Revenue Growth Rate (MoM)	5%
Gross Margin Target	60%
Federal Corporate Tax Rate	21%
State Tax Rate	5%
Local / City Tax Rate	0%
Business Insurance (BOP)	\$0 / month
General Liability Premium	\$0 / month
Workers' Comp Rate	1–3% of payroll
Professional Liability	\$0 / month
Cyber Liability Insurance	\$0 / month
Depreciation Method	Straight-line
Interest Rate (loans)	7%
Industry Avg Gross Margin	—
SCORE Mentor Contact	www.score.org

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& NOTES

Notes

Update to match your fiscal year

% of sub-total expenses set aside

Month-over-month growth assumption

Gross Profit ÷ Total Revenue

Current U.S. rate; verify with CPA

Varies by state; check your state

Varies by municipality

Annual premium ÷ 12 = monthly entry

Required by most landlords & clients

Set by state; varies by industry

E&O — recommended for service firms

If handling customer data

Per asset class; consult your CPA

Outstanding loan interest rate

Find via RMA Statement Studies, NAICS

Free mentoring — update with name